Sahil Pal vs Central Bureau Of Investigation on 20 October, 2023

Author: Amit Sharma

Bench: Amit Sharma

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 2803/2023 & CRL.M.(BAIL) 117
SAHIL PAL
Through: Mr. Manish Gupta
Guha, Ms. Hars
Deepti Verma,
versus

CENTRAL BUREAU OF INVESTIGATION ..
Through: Mr. Ripu Daman Bha
SPP CBI.
CORAM:
HON'BLE MR. JUSTICE AMIT SHARMA
ORDER

% 20.10.2023

1. The present application under Section 439 of the CrPC seeks regular bail in RC2212023E0014 dated 11.05.2023 under Sections 420/384/120B of the IPC And Section 66(D) of the Information Technology Act registered by the CBI at PS EO-III, Delhi.

2. The case of the prosecution is that the applicant, alongwith other co- accused persons impersonated government officials and committed crypto- currency frauds using computer resourced and communication devices. They cheated people in the name of providing technical support consultation and dishonestly induced them to deliver money in the form of crypto-currency and subsequently, routed the currency through multiple crypto wallets to their own accounts. It is further the case of the prosecution that the applicant and co-accused Ashish Bhambani impersonated as an official of the Government of Canada to cheat one Mr. Trishan Goussard, a Canadian resident. It is alleged that they asked the said person to deposit CAD 7006 in The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:11 a crypto wallet to avoid several charges of fraud in his compromised social insurance number. The victim deposited the said amount in the crypto wallet through bitcoin ATM. The funds were subsequently transferred to the BTC addresses of the applicant and co-accused Ashish Bhambani. The instant FIR was registered and investigation was initiated.

3. Learned counsel for the applicant drew the attention of this Court to the following dates:

i. 11.05.2023 - FIR in the present case was registered against the applicant and co-accused Ashish Bhambani and Himanshi Asija. ii. 20.07.2023 - The Investigating Officer obtained a search warrant from the learned ACMM, Rouse Avenue Courts to carry out a search of the applicant s house.

iii. 25.07.2023 - The said search warrant was executed. It is submitted that the applicant fully cooperated with the search, which lasted for about 12 hours, from 07:25 AM to 08:00 PM.

iv. 25.07.2023 - At 08:30 PM on 25.07.2023, the Investigating Officer served a notice under Section 41A of the CrPC upon the applicant, directing him to appear on 26.07.2023 at 10:00 AM.

v. 26.07.2023 - In compliance with the said notice, the applicant appeared at the office of the CBI on 26.07.2023 at 10:00 AM. vi. 26.07.2023 - The applicant was arrested by the Investigating Officer at 05:10 PM.

vii. 27.07.2023 - The applicant was produced before the learned ACMM, Rouse Avenue Courts, Delhi. On the same day, an application for bail was filed on behalf of the applicant and the Investigating Officer sought police custody. The learned ACMM adjourned the bail The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:11 application for 31.07.2023 and remanded the applicant to police custody for two days.

viii. 29.07.2023 - The Investigating Officer submitted before the Court of the learned Duty Magistrate that police custody of the applicant was no more required and that he be remanded to judicial custody. ix. 29.07.2023 - The applicant moved an appropriate application protesting the aforesaid claim of the Investigating officer and was granted interim bail till 31.07.2023, conditional upon him appearing before the Investigating Officer on a daily basis.

x. 31.07.2023 - The learned ACMM reserved orders on the applicant s bail application and extended the interim bail granted to him till 08.08.2023.

xi. 01.08.2023 to 08.08.2023 - The applicant regularly appeared before the Investigating Officer.

xii. 08.08.2023 - The applicant s bail application was dismissed by the learned ACMM, Rouse Avenue Courts, New Delhi and he was remanded to judicial custody.

xiii. 09.08.2023 - The applicant moved an application seeking regular bail before the learned Special Judge, CBI, Rouse Avenue Courts, New Delhi.

xiv. 16.08.2023 - The applicant s bail application was dismissed by the learned Special Judge, CBI, Rouse Avenue Courts, New Delhi. xv. 23.09.2023 - The chargesheet in the present case was filed qua the accused persons, including the applicant.

4. Learned counsel for the applicant submits that a perusal of the aforesaid list of dates reflects that the present applicant has been The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12 continuously cooperating with the investigating agency. It is submitted that at the time when he was granted interim bail, he appeared before the Investigating Officer on a daily basis. It is further pointed out that in the order dated 11.10.2023, passed by learned Special Judge, CBI-19 (PC Act), Rouse Avenue Courts, New Delhi in Criminal Revision no. 46/2023, titled „Sahil Pal v. Central Bureau of Investigation (CBI), it has been recorded that the learned Public Prosecutor for respondent/CBI, had categorically submitted that the investigation qua the present applicant was complete and only further investigation qua co-accused persons was pending for which supplementary chargesheet may be filed later on.

5. It is further submitted that co-accused persons Ashish Bhambhani and Himanshu Asija @ Rinku, who have been named in the FIR as well as in the chargesheet, have been chargesheeted without arrest. Learned counsel for the applicant relies upon an order dated 27.07.2023, passed by the Hon ble Supreme Court in Special Leave to Appeal (Crl.) No.(s) 268/2023, titled "Ganesh Shivkumar Sagar v. State of Gujatat and submits that in the said case, the petitioner therein was granted bail in a case related to crypto- currency, inter alia on the ground that investigation in the said case was complete, chargesheet stood filed and since the trial was yet to commence and conclusion thereof would likely take some time.

6. It is submitted that the present applicant is a young man, who is 26 years of age and has been in judicial custody since 08.08.2023. It is submitted that investigation in the present case is complete, chargesheet stands filed and the trial is likely to take some time and therefore, no useful purpose would be served by keeping the applicant in judicial custody any further. It is submitted that the applicant is ready and willing to abide by any The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12 conditions deemed fit in the facts and circumstances of the case, in case he is granted bail.

7. Per contra, learned SPP for CBI draws the attention of this Court to the following paragraphs of the chargesheet:

> "The investigation has established that the accused, Himanshu Asija @Rinku, collaborated in a criminal conspiracy with Sahil Pal and unidentified accomplices. Their illegal activities revolved around defrauding foreign nationals through call centers based in Delhi. To accomplish this deceitful objective, they systematically procured and operated campaigns designed to gather contact information from overseas victims. In their efforts to dupe foreign nationals, they leveraged various technological means, including robo calls, VOIP calls, and voice mails.

> The investigation has further substantiated .that the aforementioned accused individuals, along with their associates, employed internet- based calling software such as Xlite, ViCi-dialer, and various VOIP applications capable of manipulating - caller ID information. This crafty manipulation made it appear as if they were calling from legitimate organizations or government agencies, which they were impersonating. Once they had a target or victim on the line, they utilized a range of deceptive scripts. These scripts often posed as government entities like the Social Insurance Number Service, Social Security Administration, National Insurance Administration, Taxation Department Payback Loan Providers, and various tech support companies, all with the aim of gaining the trust of their victims. They have also resorted to threats against the victims, invoking the specter of legal action, arrest, or financial ruin to coerce compliance. In their efforts to avoid these perceived consequences, they exerted intense pressure on the victims to divulge sensitive information such as bank account details. Moreover, they issued instructions for the transfer of funds in the form of cryptocurrency, gift cards and wire transfers, among other methods, .all designed to preserve their anonymity in their illicit activities.
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> Furthermore, the investigation has uncovered that the aforementioned accused, individuals, in conjunction with their unidentified associates, exploited the crypto accounts of KYC-verified users who were registered on cryptocurrency exchange platforms. This strategic manoeuvre allowed them to easily liquidate the ill-gotten cryptocurrency funds. Notably, accused Himanshu Asija @ Rinku, and The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12 Sahil Pal · orchestrated the transfer of fraudulently obtained Bitcoin (BTC) to the Binance wallet belonging to accused Ashish Bhambhani.

Investigation has established that accused Ashish Bhambhani knowingly facilitated his Binance wallet for the benefit of aforesaid accused persons, all without making any personal investment in the cryptocurrency wallet. He received Bitcoin (BTC) from accused Himanshu Asija @ Rinku, and Sahil Pal, subsequently converting it into USDT. Furthermore, he was a willing recipient of USDT from accused Himanshu Asija @ Rinku, and Sahil Pal. These actions underscore the involvement of accused Ashish Bhambhani in fraudulent activities."

8. It is submitted that during a search of the applicant s house, six mobile phones including SIM Cards, incriminating documents as well as un- explained cash amounting to Rs. 99,97,500/- and USD 3500 were recovered. Learned SPP submits that the applicant is the main conspirator in the present case and therefore, the bail is opposed.

9. Heard learned counsel for the parties and perused the record.

10. On a pointed query from this Court, learned SPP for the respondent/CBI submits that there is no statement of either Mr. Trishan Goussard as mentioned hereinabove or any of the other alleged

victims in the present FIR. It is the case of the prosecution in the chargesheet that the applicant alongwith co-accused Himanshu Asija @ Rinku and Ashish Bhambani are actively involved in commission of the alleged offences and are being prosecuted accordingly. The chargesheet further records as under:

> "In order to further strengthen the case MLATs /LRs would be sent to foreign countries including Canada and USA, to collect oral and documentary evidences including inter-alia victim details, money transfers · and remittances, digital logs etc. Further investigation for collection of foreign based evidences is being continued. The Further-Investigation u/s 173(8) CrPC in the case is also continued against other associates of the accused persons identified in the course of investigation so far."

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12

11. The investigation qua the applicant stands complete. The necessary recoveries have been effected. The evidence in the case is primarily electronic in nature, which is already in possession of the investigating agency. It is also an admitted case that the other two co-accused persons have been chargesheeted without arrest. The applicant is in judicial custody since 08.08.2023. Pendency of further investigation qua other accused persons cannot be a ground for continued custody of the applicant herein.

12. The Hon ble Supreme Court, in Sanjay Chandra v. Central Bureau of Investigation, (2012) 1 SCC 40 has held as under:

> "21. In bail applications, generally, it has been laid down from the earliest times that the object of bail is to secure the appearance of the accused person at his trial by reasonable amount of bail. The object of bail is neither punitive nor preventative. Deprivation of liberty must be considered a punishment, unless it is required to ensure that an accused person will stand his trial when called upon. The courts owe more than verbal respect to the principle that punishment begins after conviction, and that every man is deemed to be innocent until duly tried and duly found guilty.
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> 22. From the earliest times, it was appreciated that detention in custody pending completion of trial could be a cause of great hardship. From time to time, necessity demands that some unconvicted persons should be held in custody pending trial to secure their attendance at the trial but in such cases, "necessity" is the operative test. In this country, it would be quite contrary to the concept of personal liberty enshrined in the Constitution that any person should be punished in respect of any matter, upon which, he has not been convicted or that in any circumstances, he should be deprived of his liberty upon only the belief that he will tamper with the witnesses if left at liberty, save in the most extraordinary circumstances.

> 23. Apart from the question of prevention being the object of refusal of bail, one must not lose sight of the fact that any imprisonment before conviction has a substantial punitive content and it would be improper for any court to refuse bail as a mark of disapproval of former conduct whether the accused has been convicted for it or not or to refuse bail to The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12 an unconvicted person for the purpose of giving him a taste of imprisonment as a lesson.
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> 46. We are conscious of the fact that the accused are charged with economic offences of huge magnitude. We are also conscious of the fact that the offences alleged, if proved, may jeopardise the economy of the country. At the same time, we cannot lose sight of the fact that the investigating agency has already completed investigation and the charge-sheet is already filed before the Special Judge, CBI, New Delhi. Therefore, their presence in the custody may not be necessary for further investigation. We are of the view that the appellants are entitled to the grant of bail pending trial on stringent conditions in order to ally the apprehension expressed by CBI."

(emphasis supplied)

13. In totality of the facts and circumstances, the present application is allowed. The applicant is directed to be released on bail, on his furnishing a personal bond of Rs. 50,000/- with two sureties of like amount, to the satisfaction of the learned Trial Court/Link Court, further subject to following conditions:

> i. The applicant shall not leave India without prior permission of the learned Trial Court.
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> ii. The applicant shall appear at the Office of CBI on every Tuesday at 04:00 PM. The concerned officer is directed to release him after recording his presence and completion of necessary formalities. iii. The applicant shall intimate the learned Trial Court by way of an affidavit and to the Investigating Officer regarding any change in residential address.
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> iv. The applicant shall appear before the learned Trial Court as and when the matter is taken up for hearing.
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> v. The applicant is directed to give his mobile number to the Investigating Officer and keep it operational at all times.
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> The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC

Server on 21/10/2023 at 00:58:12 vi. The applicant shall not, directly or indirectly, tamper with evidence or try to influence the witness in any manner.

vii. If the applicant is found involved in any other case of similar nature, post this order, the respondent/CBI shall be at liberty to seek cancellation of his bail order.

14. The application is allowed and disposed of accordingly.

15. Pending application, if any, also stand disposed of.

16. Needless to state that nothing stated hereinabove is an opinion on the merits of the case.

17. Copy of the order be sent to the concerned Jail Superintendent for necessary information and compliance.

18. Order be uploaded on the website of this court forthwith.

AMIT SHARMA, J OCTOBER 20, 2023/bsr The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/10/2023 at 00:58:12